Personal Finances, Net Worth and the Accounting Equation

Module 8



INTRODUCTION:

- Before we have a look at what the **Statement of Net Worth** looks like we need to check if we know all our definitions:
- **ASSETS**
- **HISTORICAL COST RULE**
- **DEBTS** or LIABILITIES
- **NET WORTH**
- **ACCOUNTING EQUATION**

ASSETS

- **Assets** (also known as '**possessions**' or '**belongings**') are items of value acquired and owned by a person.
- It is possible to sell these items to other people.
- These items are **included** in the calculation of a person's wealth.
- **Expenses** are **excluded** from this calculation.

HISTORICAL COST RULE

- **Assets** are always reflected at their **original cost price**.
- E.g. You buy a house for R300 000 and it is now worth R1 000 000. You will still show it as R300 000.

DEBTS or LIABILITIES

- These are **the amounts owed** by a person to other people.
- These amounts have to be paid at some stage in the future, and they are **deducted** in calculating a person's wealth.
- E.g. The money that David Davies owes his father.

NET WORTH

- This is the wealth of a person reflected by his/her **ASSETS** less his/her **LIABILITIES**.
- **ASSETS – LIABILITIES = NET WORTH**

ACCOUNTING EQUATION

- Belongings – Debts = NET WORTH
- ASSETS – LIABILITIES = NET WORTH
- **ASSETS = LIABILITIES + NET WORTH**

DAVID DAVIES
STATEMENT OF NET WORTH ON 3 JANUARY 20.1

ASSETS	11 340
Clothes	3 000
Mini hi-fi set	600
Compact discs	1 200
Surfboard	1 800
Books	200
Cash on hand	40
Savings account	4 500
	R11 340
NET WORTH	7 340
LIABILITIES	4 000
Loan from father	4 000
	R11 340

HOMEWORK / CLASS WORK

- Task 8.6
- Task 8.7
- Task 8.8

